

Are Digital Services Taxes a Viable Solution for the EU Budget?

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Introduction

Over the last few years, concerns have been raised that the existing international tax system does not properly capture the digitalization of the economy. Under current international tax rules, multinationals generally pay corporate income tax where production occurs rather than where consumers—or, specifically for the digital sector, users—are located. However, proponents of new taxes on digital multinationals argue that through the digital economy, businesses (implicitly) derive income from users abroad but, without a physical presence, are not subject to corporate income tax in that foreign country.

To address these concerns, the Organisation for Economic Co-operation and Development (OECD) has been hosting negotiations with more than 140 countries to adapt the international tax system.[1] The proposal,[2] referred to as Pillar One,[3] would require some of the world's largest multinational businesses to pay some of their income taxes where their consumers are located.

Pillar One would replace some existing norms for taxing multinationals and create a multilateral standard to replace the patchwork of unilateral policies that countries have put in place to tax digital companies in recent years. The most common form is a digital services tax (DST), which is a tax on selected gross revenue streams of large digital companies.

Because Pillar One is focused on changing where profits are taxed, including for many large digital companies, DSTs are expected to be repealed. While the OECD hasn't completely dropped Pillar One, [4] the negotiations have failed to result in an agreement that would eliminate DSTs.

Digital Services Taxes Around the World

Over the last eight years, jurisdictions around the world have announced, proposed, and implemented DSTs. First proposed as an EU-wide tax, DSTs are now unilateral measures found on every continent.

EU Proposal for a DST

In March 2018, the European Commission put forth a proposal to establish rules that allow for corporate taxation of businesses with a significant digital presence.^[5] While this was the long-term objective of the proposal, it also proposed a DST that would have been implemented as an interim measure until the significant digital presence rules were put in place.^[6]

The EU's DST would be a 3 percent tax on revenues from digital advertising, online marketplaces, and sales of user data generated in the EU. Businesses are in scope if their annual global revenues exceed €750 million and EU revenues exceed €50 million. The tax was estimated to generate between €1.3 billion^[7] and €5 billion^[8] annually for EU Member States, translating to 0.07 percent of total tax revenues collected in the EU in 2024.^[9]

The European Commission was unable to find the necessary unanimous support for the proposal to be adopted.

UN Model Convention

At the same time, the United Nations has added special provisions for income from automated digital services to the UN Model Tax Convention (see Article 12B),^[10] which would apply to treaty parties that agree to its inclusion. Additionally, the terms of reference approved in November 2024 commit the UN to begin talks on a treaty to enhance tax cooperation and wrap up negotiations by 2027.^[11]

Unilateral DSTs

Since the EU was unable to find the necessary unanimous support to reach an agreement on an EU-wide DST, several European countries have decided to move forward with DSTs unilaterally. While each country's DST is unique in its design, most have adopted several elements from the EU's DST proposal.

Currently, about half of all European OECD countries have either announced, proposed, or implemented a DST.

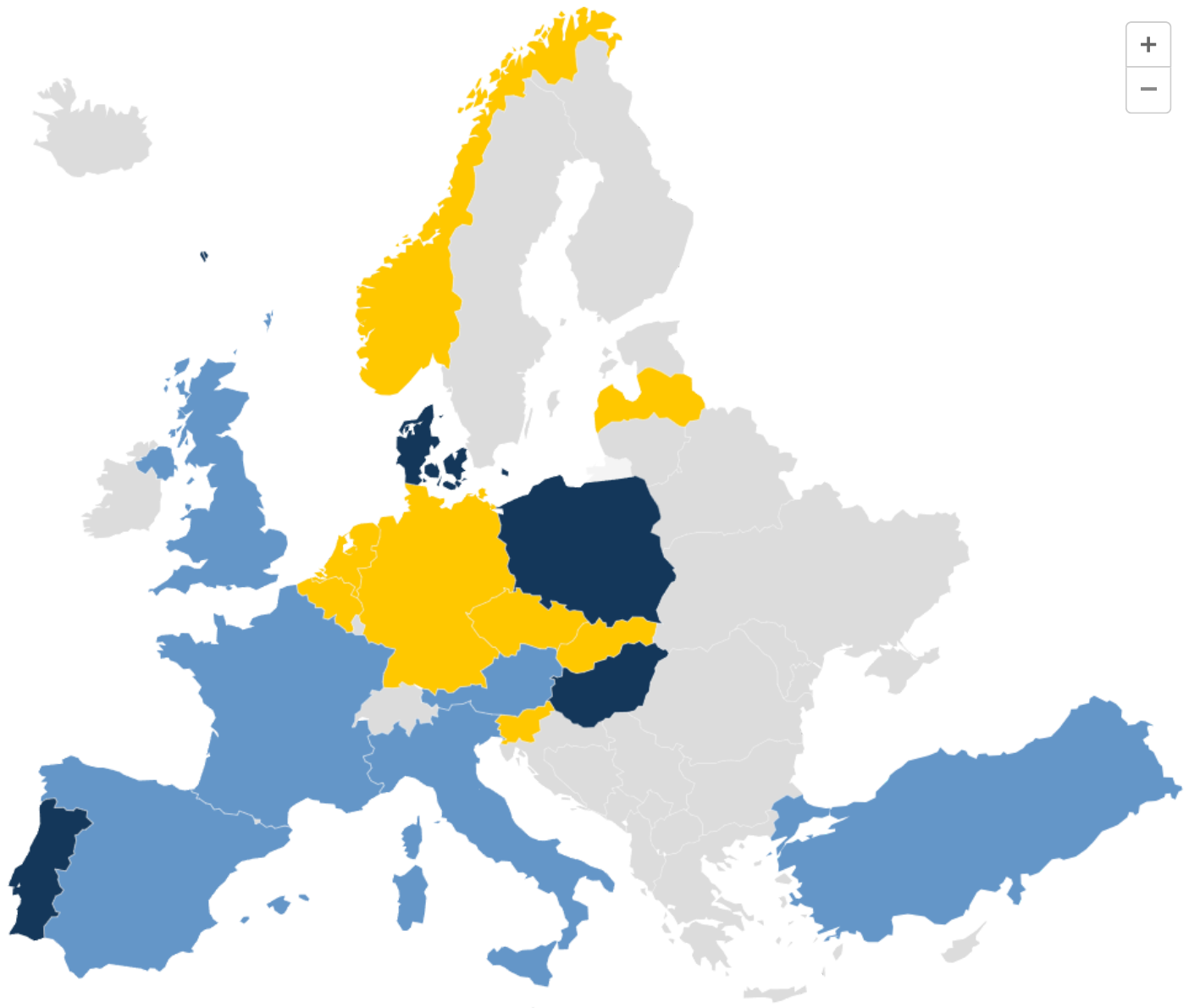
Digital Services Taxes in Europe

Legislative Status of Digital Services Taxes (DSTs) in European OECD Countries, as of May 2026

Implemented

Implemented, Repeal Contingent on Pillar 1 Implementation

Proposed, Announced, or Shown Intentions



Source: KPMG, "Taxation of the digitalized economy: Developments summary."

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Austria, Denmark, France, Hungary, Italy, Poland, Portugal, Spain, Turkey, and the United Kingdom have implemented a DST. Belgium, the Czech Republic, Germany, Latvia, Norway, Slovakia, and Slovenia have either officially announced or considered implementing such a tax.^[12]

The proposed and implemented DSTs differ significantly in their structure. For example, while Austria and Hungary only tax revenues from online advertising (to similarly tax online and offline advertising) and Denmark's DST applies only to streaming services, France's tax base is much broader, including

revenues from the provision of a digital interface, targeted advertising, and the transmission of data collected about users for advertising purposes. The tax rates range from 1.5 percent in Poland to 7.5 percent in both Hungary and Turkey (although Hungary's tax rate has been permanently reduced to 0 percent, and Turkey reduced it to 5 percent starting January 1, 2026).

Economic Incidence of DSTs

The economic incidence of a DST is closer in nature to an excise tax than to a corporate income tax. [13] While the economic literature shows that the corporate income tax is largely borne by shareholders—with shareholder income disproportionately concentrated among higher-income households—excise taxes are usually borne by consumers through higher prices. As lower-income individuals consume a larger share of their income, excise taxes tend to be rather regressive.

The exact equity effects of a DST, however, depend on the ability to pass the tax on to consumers, the type of goods and services sold, and consumers' responsiveness to the tax. [14] Evidence shows that some companies targeted by DSTs have passed the tax on to users. [15] Apple, Amazon, and Google (now Alphabet) passed on the UK's 2 percent DST tax. [16] Google has a page explaining that a charge for the DST is added on in countries where ads are accessed. [17] Additionally, a recent research paper by economists Dominika Langenmayr and Rohit Reddy Muddasani shows that the attempt to target big digital platforms misses the mark, as the cost mostly falls on European consumers. [18]

Retaliatory Measures

DSTs, which function like tariffs on certain services, are designed to be discriminatory; they target specific industries dominated by US companies. The US government has voiced opposition to DSTs over the last decade, with President Trump using Section 301 investigations in his first term, and, more recently, the US Congress threatening the Section 899 retaliatory tax. While section 899 was removed from the One Big Beautiful Bill Act, the issue of DSTs remains contentious. [19] Until a true consensus is found on how to handle the taxation of the digital economy, escalating retaliatory measures will harm all parties involved.

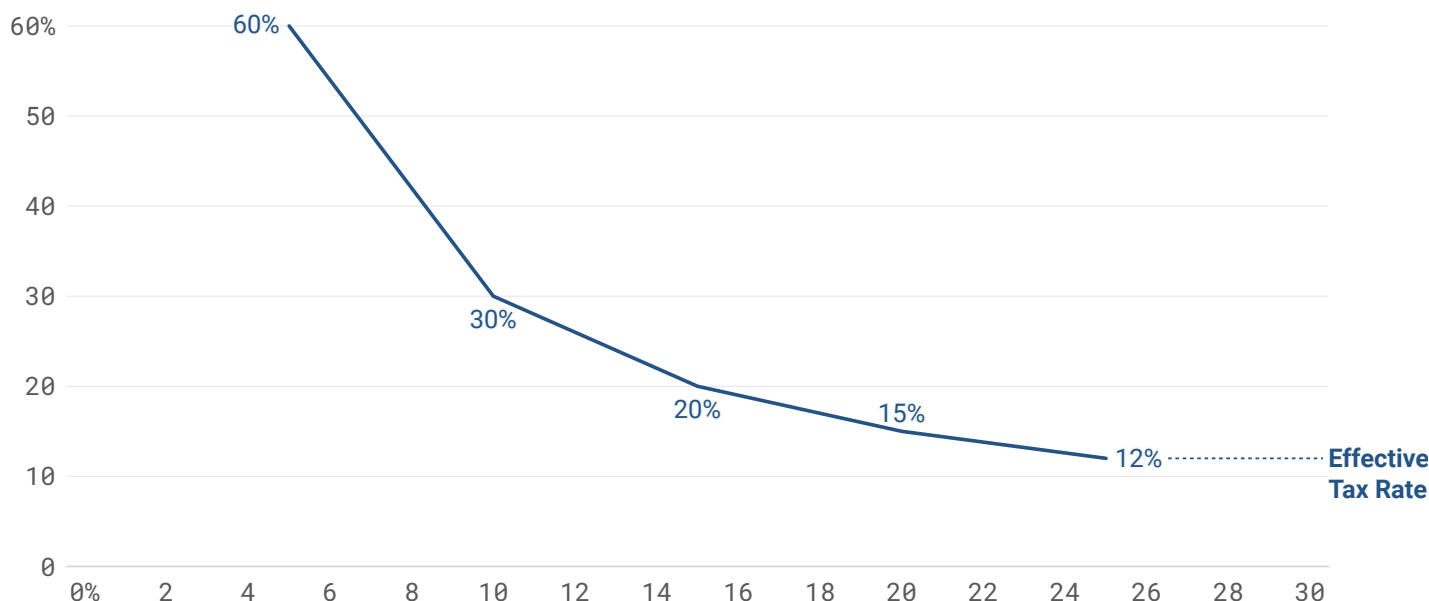
DSTs and Their Design Issues

Unlike corporate income taxes, DSTs are levied on revenues rather than profits. This means that the tax will be owed regardless of whether a particular digital service is profitable in the jurisdiction levying the tax. Historically, European countries have turned away from these types of turnover taxes because even low tax rates can translate into high effective tax burdens. [20] For example, if a

company has €100 in revenue and €85 in costs, it will earn €15 in profit. If a 3 percent DST is applied to that revenue, the company would owe €3 in tax (3 percent of €100 in revenue). For this company, a 3 percent tax on revenue equals a 20 percent tax on profits (3 percent of €15). Figure 2 shows how different profit margins for that same company earning €100 in revenue relate to different effective tax rates. If that company only earned a 5 percent profit margin, the effective tax rate with a 3 percent DST would be 60 percent. With a 25 percent profit margin, the effective tax rate falls to 12 percent.

DSTs Result in Higher Effective Tax Rates for Firms with Lower Profit Margins

Effective Tax Rates across Different Profit Margins



Source: Tax Foundation Europe calculations.

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This leads to a disproportionate tax burden being placed on companies with lower profit margins—the less profitable a company is, the higher its effective tax rate becomes. DST tax bases relate poorly to profits, cash flow, or ability to pay.

Turnover taxes, like DSTs, can apply multiple times over the supply chain as there is no built-in credit system for already paid taxes, unlike in the case of value-added taxes (VATs).

Such tax pyramiding can distort economic activity and magnify effective tax rates.^[21] Unlike VATs, turnover taxes also do not exempt business inputs. DSTs may tax business inputs, such as advertising and cloud computing.

In addition, DSTs, as proposed by the European Commission and adopted by certain Member States, are discriminatory with respect to company size. The revenue thresholds result in the tax only being applied to large multinationals. While this can ease the overall administrative burden, it also provides a relative advantage for businesses below the threshold and creates an incentive for businesses operating near the threshold to alter their behavior. Because these thresholds aren't adjusted for inflation, more firms will likely fall within their scope over time. Likewise, digital businesses are at a relative disadvantage compared to non-digital businesses operating in a similar field.

The introduction of a DST also creates new administrative and compliance costs. Governments must provide detailed guidelines on how the tax is calculated and remitted, and then administer and enforce it. At the same time, businesses are required to identify the location of users and determine their taxable base. Since not all DSTs are equally designed and administered, businesses have even higher compliance costs due to challenges of dealing with those differences. Because of the issues outlined above and to enhance the functioning of the European cross-border market, Europe replaced its turnover taxes with VATs in the 1960s.[22] The emergence of DSTs reintroduces the negative economic consequences of turnover taxes—a step back in terms of sound tax policy.

Back in 2018, the European Economic and Social Committee (EESC) raised concerns about the DSTs' risk of reallocating resources in favor of larger Member States while disadvantaging smaller ones, potentially weakening cohesion within the Single Market.[23] DSTs also faced opposition from several Member States, including Finland, Sweden, and Denmark, which expressed concerns about potential negative impacts on innovation and competitiveness.[24]

Revenue Impact

Regardless of their economic incidence, design issues, and retaliatory measures, many European governments are seeking to increase revenue. DST revenue in [Austria](#), [France](#), [Italy](#), [Spain](#), [Turkey](#), and the UK ranged from €137 million (Austria) to €1.04 billion (the UK) in the most recent year revenue was reported. Austria's DST is much narrower than the others in the sample because it applies only to digital advertising. In all cases, the amounts raised are less than one percent of the country's general revenue. Turkey's DST brings in the most at 0.24 percent of total government revenues. The UK is around 0.1 percent, and in countries like Italy, France, Austria, and Spain, it's even smaller—between 0.05 and 0.07 percent.

Table 1. Recent Revenue Raised from Selected Digital Services Taxes

Country	Most Recent Year for Official DST Revenue Reported	DST Revenue (local currency) in Millions	DST Revenue (in EUR) in Millions	DST Revenue as Percentage of Total Revenue
Austria	2025		€ 137	0.06%
France	2025		€ 891	0.06%
Italy	2024		€ 455	0.05%
Spain	2025		€ 410	0.07%
Turkey	2024	₺ 20,985	€ 395	0.24%
United Kingdom	2025	£900	€ 1,042	0.10%

Note: These countries have been selected because they report digital services tax revenue separately as a line item.
Source: Tax Foundation Europe analysis of national budget documents and announcements.

Policy Alternatives and Conclusions

If the objective is to raise more money from digital services, then the EU should incentivize Member States to continue reforming the value-added tax to effectively tax these services at the point of consumption. Digital services are often implicitly included in the VAT base. Additionally, VAT has already been modified in recent years to account for the digitalization of the economy. The reforms require non-EU businesses to register and remit VAT in the Member State of the consumer, effectively taxing digital services at the point of consumption. The EU VAT revenues collected from these measures increased tenfold, from €3 billion in 2015, €4.5 billion in 2018, and €20 billion in 2022,[25] to more than €33 billion in 2024.[26] This latest figure is about seven times higher than the upper-end revenue estimate for an EU-wide DST. Expanding VAT to include all digital services would allow Member States to eliminate their DSTs.

If the goal is to increase funding for the EU budget, the focus should not be on creating new own resources but on encouraging Member States to strengthen VAT collection. In addition to being an important source of revenue for EU countries, VAT revenue is also one of the EU’s own resources. However, the share of VAT-based resources accounted for only 9.5 percent of the EU’s total revenue in 2024, down from 60 percent in 1988.[27] This decline is due to own resources policy reforms that reduced both the VAT base and the VAT rate.[28] Since the VAT revenue collected by each Member State determines the VAT base for own resources, broadening the VAT tax base by eliminating reduced rates and exemptions would not only positively impact EU countries’ VAT revenues but could also contribute to the EU’s sources of revenue.[29] Closing the VAT system’s gaps would reinforce VAT as an important and stable revenue source for the EU budget. Broadening the VAT tax

base would bring in additional revenue for Member States of up to €773 billion, four times the EU 2026 Budget. Even without changing the current rules for VAT-based contributions from Member States, the €773 billion in additional national revenue would translate into roughly €2.3 billion for the EU budget, slightly above the lower-end estimate of €1.3 billion for an EU-wide DST.^[30] Finally, VAT causes fewer distortions in the economy, is trade-neutral, and does not discriminate between firms.^[31]

Since DSTs generate little revenue, place the cost on European consumers and not on large digital companies as intended, and risk escalating trade disputes, policymakers should rethink their strategy. Instead of expanding DSTs or pursuing an EU-wide version, they ought to abolish them entirely. Tax policy should be grounded in sound principles—simplicity, transparency, neutrality, and stability—to ensure it can withstand the challenges posed by the rapidly evolving economic and technological landscape of the 21st century. The primary aim of tax policy is to raise revenue efficiently, and there are more effective ways to do so.

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Appendix

Table 1. Announced, Proposed, and Implemented Digital Services Taxes, as of May 2026

Search:

Country	Tax Rate	Scope	Global Revenue Threshold	Domestic Revenue Threshold	Status
Austria (AT)	5%	Online advertising	EUR 750 million	EUR 25 million	Imple from joine Octob repea conti imple

Belgium (BE)	3%	· Selling of user data	EUR 750 million	EUR 5 million	Propo intro but w 2019; propo in Ju 31, 2 polit on a outli on a 2026, Repre for c propo of a enter 2027.
		· Selling advertising space on a digital platform			
		· Digital intermediation services facilitating the exchange of supplies of goods or services			
Czech Republic (CZ)	5%	· Online advertising	EUR 750 million	CZK 100 million (EUR 4.13 million)	Propo was a to re from the d has s suppo at th
		· Transmission of user data			
		· Digital interface to facilitate the provision of supplies of goods and services among users			
Denmark (DK)	2% (3% surcharge)	On-demand, audio-visual media service providers		DKK 15 million (EUR 2.01 million) or audience constituting more than 1% of the total number of users of streaming services in Denmark.	Imple from There surch that of th in Da 20, 2 intro versi

Finland (FI)					The F Denma Swede state tax, digit econo where and a shoul based
France (FR)	3%	· Provision of a digital interface	EUR 750 million	EUR 25 million	Imple appli 1, 20 colle delay 2020. 2025, Const uphol const Novem Natio again Bill incre from state 2021, DST w Pilla
		· Advertising services based on users' data			
	1.2%	Paid and free access to recorded music and online music videos		EUR 20 million	Imple 2024. excee
Germany	10%	Advertising revenue			Annou June Germa digit
Hungary (HU)	7.5% (effective rate 0%)	Advertising revenue		HUF 100 million (EUR 281,300)	Imple from tempo adver been effec 2019. rate parli the a at 0% July

Italy (IT)	3%	· Advertising on a digital interface			Imple from Novem 15, 2 Itali appro Budge elimi 2025 thres requi world least at le from Italy DST). Octob repea conti imple 20, 2 Econo that might its D not i
		· Multilateral digital interface that allows users to buy/sell goods and services			
		· Transmission of user data generated from using a digital interface			
Latvia (LV)	3%	-	-	-	Annou Inten gover study incre based that 3% DS furth taken
Netherlands (NL)					On Oc Dutch wrote Parli EU DS consi alter Pilla globa reach

Norway (NO)	-	-	-	-	Annou Inten intro measu not r solut since frame
Poland (PL)	1.5%	Audiovisual media service and audiovisual commercial communication	-	-	Imple from separ intro digit with digit terri Addit adver also
	3%	Digital advertisements, multilateral digital interfaces, and monetization of user data.	EUR 1 billion	PLN 25 million (EUR 5.9 million)	Propo 2026, of Di annou of a a com certa servi would reven servi corpo tax o
Portugal (PT)	4%, 1%	Audiovisual commercial communication on video- sharing platforms (4%), subscriptions for video- on-demand services (1%)			Imple from
Slovakia (SK)			-	-	Annou Inten Finan consu to in reven from such onlin of us 18, 2 Minis propo that effec multi under reach

Slovenia (SI)	-	-	-	-	Annou Inten Finan gover to su the N intro servi 2020; been far).
Spain (ES)	3%	· Online advertising services	EUR 750 million	EUR 3 million	Imple from joine Octob repea conti imple
		· Sale of online advertising			
		· Sale of user data			
Sweden (SE)					The F Denma Swede state tax, digit econo where and a shoul based
Turkey (TR)	5%	Online services, including advertisements, sales of content, and paid services on social media websites	EUR 750 million	TRY 20 million (EUR 376,000)	Imple from presi DST r incre 15%. until 2025, be 2. 1, 20 terms state 2021, DST w Pilla

United Kingdom (GB)	2%	· Social media platforms	GBP 500 million (EUR 579 million)	GBP 25 million (EUR 29 million)	Imple appli 2020) Octob repea conti imple Treas a con count exten Since yet b DST r measu
		· Internet search engine			
		· Online marketplace			

Note: Current exchange rates were used.
Source: KPMG, "Taxation of the digitalized economy: Developments summary," last updated May 29, 2026, <https://kpmg.com/kpmg-us/content/dam/kpmg/pdf/2023/digitalized-economy-taxation-developments-summary.pdf>.

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